

NETWORK PARTICIPATION TERMS

Inventory Network Participation Agreement

These are the binding terms governing every pharmacy that participates in the AuditProRx inventory visibility network. This document is automatically attached to every connect request so that both pharmacies have a copy of the rules under which the inquiry was generated.

Defined Terms

"**Network**" means the AuditProRx information directory through which verified pharmacies discover surplus prescription inventory at other verified pharmacies. "**Pharmacy**" means the licensed retail pharmacy participating in the Network. "**Pharmacist-in-Charge**" or "**PIC**" means the pharmacist licensed by the applicable state board of pharmacy and designated as responsible for the Pharmacy. "**DSCSA**" means the federal Drug Supply Chain Security Act, codified at 21 U.S.C. § 360eee et seq. "**EPCIS**" means Electronic Product Code Information Services, the GS1 standard for pedigree data exchange.

1. What this Network Is — and Is Not

AuditProRx Network is an **information directory only**. It allows verified pharmacies to discover surplus inventory at other verified pharmacies. The platform **does not** buy, sell, transfer, ship, or take possession of any pharmaceutical product. The platform **does not** process payments for drug transactions. The platform **does not** set, recommend, or negotiate prices.

Any agreement to transfer drugs and any payment for transferred drugs is entered into directly and bilaterally between the two pharmacies. AuditProRx is not a party to any such transaction and accepts no responsibility for the quality, price, delivery, condition, or legality of any product transferred.

2. Patient-Specific Transfers Only (DSCSA)

Any actual drug transfer between Pharmacies discovered through this Network must qualify as a **patient-specific prescription transfer** permitted under DSCSA, 21 U.S.C. § 360eee-1(a)(1)(B)(iv). Pharmacies agree not to use this Network to facilitate casual, commercial, or wholesale distribution of pharmaceutical products without holding all licenses required of a wholesale distributor in their jurisdiction.

For every connect request, the requesting Pharmacy confirms it holds a current, dispensable prescription written for an identified patient, and that the requested drug, strength, and quantity match the prescription as written.

3. EPCIS Pedigree Obligation

Both Pharmacies remain solely responsible for exchanging compliant Transaction Information (TI), Transaction History (TH), and Transaction Statement (TS) documentation in EPCIS format for every transfer, in accordance with DSCSA and FDA implementation guidance. AuditProRx may provide an EPCIS pedigree-generation tool as a convenience; this tool does not constitute legal advice and does not relieve either Pharmacy of compliance responsibility under DSCSA.

4. Controlled Substances Prohibited

Listings of any controlled substance (Schedule II–V) are prohibited and will be automatically rejected.

Controlled-substance transfers between pharmacies require DEA Form 222 (Schedule II) or appropriate Schedule III–V

documentation and are outside the scope of this Network. Any attempt to list or solicit a controlled substance through this Network constitutes a material breach of these terms.

5. License Verification & Re-Verification

Each Pharmacy confirms that all license credentials submitted during onboarding — including state Board of Pharmacy permit, DEA registration (if applicable), NPI, NCPDP, and individual pharmacist licenses — are accurate, current, and in good standing. Pharmacies agree to re-verify these credentials at least quarterly and to update the Network promptly if any credential lapses, is suspended, or is revoked.

AuditProRx may suspend Network access for any Pharmacy whose credentials have lapsed, pending re-verification.

6. Audit Log & Recordkeeping

All actions on this Network — including searches, listings, connect requests, agreement acceptances, and email communications generated through the platform — are logged with timestamp, user identity, pharmacy NPI, and originating IP address. These records are retained for a minimum of **seven (7) years** and may be produced in response to a lawful subpoena or to a state Board of Pharmacy or federal regulatory inquiry. By participating, each Pharmacy consents to this logging and retention.

7. Bilateral Transactions; Platform Is Not a Party

Once two Pharmacies elect to proceed with a transfer, the resulting transaction is strictly bilateral. The Pharmacies — not AuditProRx — bear sole responsibility for: confirming DSCSA trading-partner status; preparing and exchanging EPCIS pedigree documentation; coordinating physical logistics, custody, and chain of accountability; arranging any payment; and complying with all applicable federal, state, and local laws.

8. No Marketplace; No Transaction Fees

AuditProRx does not set prices, accept payments, take a transaction fee, or earn revenue tied to the volume or dollar value of any drug transferred. Subscription fees charged to participating Pharmacies are flat and unrelated to transactions consummated on or off the platform.

9. Anti-Kickback Compliance

Each Pharmacy confirms that its participation in this Network does not, and will not, involve any remuneration in cash or in kind in exchange for the referral of business, items, or services reimbursable in whole or in part under any federal healthcare program, in violation of 42 U.S.C. § 1320a-7b(b) (the federal Anti-Kickback Statute) or any analogous state law. Pharmacies will not structure transfers to evade the requirements of any federal healthcare program.

10. Privacy & Protected Health Information

Pharmacies agree that any patient prescription information shared with another Pharmacy through this Network in connection with a patient-specific transfer will be handled in accordance with HIPAA, the HITECH Act, and all applicable state privacy laws. The minimum necessary patient information should be shared with the receiving Pharmacy. AuditProRx is not, and does not act as, a HIPAA business associate with respect to patient identifiers exchanged directly between Pharmacies.

11. Indemnification

Each Pharmacy agrees to indemnify, defend, and hold harmless AuditProRx and its respective officers, employees, and agents from and against any third-party claims, liabilities, damages, fines, or expenses (including reasonable attorneys' fees) arising out of or related to: (i) the Pharmacy's use of the Network; (ii) any transfer of pharmaceutical product initiated through the Network; (iii) any breach of these terms by the Pharmacy; or (iv) any violation by the Pharmacy of applicable law.

12. Limitation of Liability

To the maximum extent permitted by law, AuditProRx's aggregate liability under these terms shall not exceed the subscription fees paid by the relevant Pharmacy in the twelve (12) months preceding the event giving rise to the claim. AuditProRx shall not be liable for any indirect, incidental, special, consequential, or punitive damages, including lost profits or business interruption, even if advised of the possibility of such damages.

13. Term, Suspension, and Termination

Either party may terminate participation at any time upon written notice. AuditProRx may suspend or terminate accounts immediately, without notice, for any violation of these terms, applicable law, or pharmacy licensure standards. Sections 6 (Audit Log), 7 (Bilateral Transactions), 10 (Privacy), 11 (Indemnification), and 12 (Limitation of Liability) survive termination.

14. Governing Law

These terms are governed by the laws of the State of New Jersey, without regard to its conflict-of-laws principles. Any dispute arising out of or relating to these terms shall be brought exclusively in the state or federal courts located in Essex County, New Jersey, and the parties consent to the personal jurisdiction of those courts.

15. Entire Agreement; Amendments

These terms, together with any other terms expressly incorporated by reference, constitute the entire agreement between the participating Pharmacy and AuditProRx regarding the Network and supersede all prior or contemporaneous understandings. AuditProRx may amend these terms upon thirty (30) days' written notice; continued use of the Network after the effective date constitutes acceptance of the amended terms.

HOW ACCEPTANCE WORKS

Electronic Acceptance Notice

These terms are accepted electronically inside the AuditProRx platform. No wet-ink signature is required or expected. By clicking “**Accept & Continue**” on the participation agreement screen prior to sending the first connect request, the Pharmacist-in-Charge or designated representative provides legally binding acceptance under the federal Electronic Signatures in Global and National Commerce Act (15 U.S.C. § 7001 et seq.) and the Uniform Electronic Transactions Act as adopted in New Jersey.

What is recorded at the moment of acceptance

USER IDENTITY	Verified pharmacy account ID and the email address of the accepting representative
PHARMACY	Pharmacy legal name, NPI, and NCPDP as submitted at onboarding
AGREEMENT VERSION	v1.0 (this document)
TIMESTAMP	UTC date and time of acceptance, accurate to the second
IP ADDRESS	Originating IP address of the accepting browser session
USER AGENT	Browser and device fingerprint string
RETENTION	Seven (7) years from the date of acceptance, per Section 6

For the receiving pharmacy

If you received this document attached to a connect-request email, the pharmacy that contacted you has already accepted these terms electronically. Their acceptance record is preserved in the AuditProRx audit log and can be produced on lawful request. You are not required to sign or return this document. To respond to the connect request, simply reply to the email — AuditProRx is not a party to your subsequent communications or to any transfer you may arrange.

Questions about these terms or about a specific connect request: support@auditprorx.com

This document is automatically attached to every connect request generated through the AuditProRx Network. Each Pharmacy retains a copy for its own records as part of the seven-year audit trail described in Section 6.